

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:)
)
SURINDER KALOE and TEJINDER) Mr. Paul R. Sweeny, counsel for the
KALOE) Plaintiffs
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 Plaintiffs)
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 - and -)
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ANNE COOK) Mr. Jeffery Crannie, counsel for the
) Defendant
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 Defendant)
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) **HEARD:** July 3, 2006

THE HONOURABLE MR. JUSTICE P.B. HAMBLY

[1] The plaintiffs move for an order extending the time for service of a statement of claim.

The Facts

The Statements of Claim

[2] On October 27, 1998 the plaintiff Surinder Kaloe, (Surinder) was driving her motor vehicle in downtown Hamilton when it was struck from the rear by a motor vehicle owned and driven by Anne Cook.

[3] The impact of the collision forced Surinder's motor vehicle into a motor vehicle owned and driven by Salvatore Mamone.

[4] Surinder alleges that she suffered soft tissue whiplash injuries in the accident. The plaintiffs, Surinder and her husband, Tejinder Kaloe (Tejinder) retained Howard Katz to represent them.

[5] On October 24, 2000, three days prior to the expiration of the limitation period, he commenced an action on their behalf to recover their damages against Salvatore Mamone.

[6] In October 2001, Mr. Katz realized that he had sued the wrong the party. He issued a second statement of claim on October 25, 2001 in which he named the proper defendant, Anne Cook. He did not arrange to have the statement of claim served on this defendant.

[7] In February 2003, the plaintiffs retained William A. MacMaster of the firm of Singer, Kwinter to represent them. He obtained the file from Mr. Katz. He did not attempt to serve the statement of claim.

[8] In November 2003, the plaintiffs retained the firm of Sullivan, Festeryga.

[9] In February 2004 this law firm took steps to acquire the plaintiffs' file. It did not put the defendant's insurer, Allstate Insurance, on notice of the claim until it did so by letter dated July 7, 2005. It was not until November 27, 2005 that Alexandra V. Mayeski of the law firm of Evans, Sweeny, acting on behalf of Sullivan, Festeryga sent a letter to

Allstate Insurance enclosing a copy of the statement of claim and requesting their consent to an order extending the time for service.

[10] Allstate opened a file shortly after the accident occurred as a result of its own insured reporting the accident. It did not receive any notice from the plaintiffs that they would make a claim as a result of injuries suffered by Surinder. Allstate closed its file in November 1998. In the circumstances, Allstate declined to give its consent to extending the time for service.

[11] Evans, Sweeny brought a motion returnable originally on January 24, 2006 for an order extending the time for service of the statement of claim. The motion was heard by me on July 3, 2006.

[12] On March 17, 1999 Surinder was again driving a motor vehicle in downtown Hamilton. It was struck from the rear by another vehicle. She alleges that she suffered further soft tissue whiplash injuries which aggravated the injuries that she suffered in the first accident.

[13] Mr. Katz issued a statement of claim for her, for Tejinder and for her son, Tejpaal Kaloe, to recover their damages arising from Surinder's injuries suffered in this accident. The statement of claim appears to have been appropriately issued and served. There has been no examination for discovery in this action.

[14] Surinder claimed accident benefits for her injuries suffered in these accidents from her own insurer, which is the Dominion of Canada General Insurance Company.

Surinder

[15] Surinder was born on August 27, 1955. She was 43 years old at the time of both accidents. She has four children who were 23 years, 21 years, 13 years and 8 years old at the time of the first accident. At the time of the accidents, she and Tejinder and Tejpaal ran two health food stores and a restaurant. Surinder helped manage the health food stores and she worked as a cook in the restaurant.

Medical Reports and Other Documents

[16] In support of the plaintiffs' motion, Kirk R. MacPherson, a lawyer in the firm of Sullivan, Festeryga, filed an affidavit to which he attached medical records and other documents concerning Surinder. Dr. P.L. Yong is the family doctor of Surinder. Mr. MacPherson attached the complete notes and records of Dr. Yong concerning his treatment of Surinder from August 1975 until November 2003. He also attached the complete accident benefits file of the Dominion of Canada Insurance Company. Other medical records are attached to Mr. MacPherson's affidavit, which are duplicated in the notes and records of Dr. Yong and in the accident benefits file.

[17] Surinder attended upon Dr. Yong on October 29, 1998, two days after the first accident, and on March 29, 1999, 12 days after the second accident. She attended twice in 1998, seven times in 1999, 2000, 2001 and 2002 and six times in 2003. In these attendances, Dr. Yong records Surinder reporting pain that she is suffering in her back, neck, legs and shoulders, which she attributes to injuries that she suffered in the motor vehicle accidents. Dr. Yong prescribed pain medication. He noted that she was taking herbs. Dr. Yong sent her for physiotherapy treatment. The reports and notes of the

physiotherapist are contained in Dr. Yong's records. These records are also attached as a separate exhibit to Mr. MacPherson's affidavit.

[18] Also contained in Dr. Yong's records is an emergency record from the Chedoke McMaster Hospital, dated May 10, 1997. It records Surinder attending at the emergency department at the hospital for treatment for an injury to her right lower back, sustained when she was moving a stove.

[19] Dr. Yong sent Surinder to several specialists. Their consultation reports are included with his records, and also attached as separate exhibits. There are three EMG reports. The first is by Dr. J. E. Trotter dated November 3, 1999. He records the injuries and pain that Surinder reports from the motor vehicle accidents as follows:

She was involved in two motor vehicle accidents, one in October of 1998 and one in March of 1998. As she was getting out of the first accident, she felt a lightening sort of pain in her back which spread down both legs producing a feeling as if her legs were going to give out. Since that time, she has had some low back pain with radiation down the lateral aspect of the right leg, but not extending past the knee level. She denies any numbness or tingling in her lower extremities.

She had a back injury two years ago from which she was quite disabled for several weeks. She had bilateral leg pain at that time.

[20] Dr. Trotter could not obtain an H-reflex in her left leg. His clinical interpretation was as follows:

This study of her right lower extremity was considered to be within normal limits indicating no evidence of a radiculopathy in at least the L3 to S1 distribution. The absence of the left leg H-reflex is compatible with some involvement at the S1 root level. This may have in fact occurred with her previous back injury as her current symptoms are primarily in the right leg.

[21] Dr. B. Clarke submitted a second EMG report, dated March 20, 2002. The reason for this referral was Surinder reporting paresthesias in her hands. He stated the history of this problem to be the following:

Mrs. Kaloe is a pleasant 47-year-old right-handed woman who has had bilateral hand paresthesias for many years which has been slowly progressing. The right hand is affected more than the left. It wakes her up nightly and she has a sensation of it being heavy and numb. It affects the first 3 digits of both hands. Superimposed on this she has a constant arm weakness which is associated with fibromyalgia and neck pain aggravated by two previous MVA's. She has been dropping objects and finding her coordination is diminished. She has stiffness throughout the neck and shoulder girdle. It is aggravated by heaving lifting and relieved by rest.

[22] He recommended conservative treatment of increased vitamins and exercise. He was of the view that if conservative treatment failed, Surinder could require surgery.

[23] There is a third EMG report dated June 6, 2004 from Dr. P.A.Varey in relation to the paresthesias in Surinder's hands. Surinder reported to him that wrist splints which she was wearing were ineffective. The pain interrupted her sleep. She had a tendency to drop things from her grasp. He was of the view that surgery was necessary to avoid irreversible nerve injury.

[24] Dr. I. Khostanteen is a rheumatologist. She submitted a report dated October 20, 1999 following her assessment of Surinder. She noted Surinder's reporting of pain in her neck, back, shoulders and hands following the second motor vehicle accident. She described the history of Surinder's injuries and pain related to the motor vehicle accidents as follows:

I will briefly review her history. In October 1998, Mrs. Kaloe was the driver of a vehicle which was hit by another car from the back. She had suffered whiplash like injury to the neck and low back area. There was no

loss of consciousness. She indicated that immediately after the accident, she had discomfort in the low back which she described as a 'lightening pain' radiating from the back towards the hips. Subsequently she started developing stiffness involving the neck and interscapular area radiating towards the shoulders. She was attending physiotherapy from November 1998 to March 1999 when she was involved in a second motor vehicle accident and her car was hit from the back with worsening of the neck pain radiating towards the right shoulder, occiput and up to the right arm. This is associated with intermittent paresthesias in both hands. The pain is constant increases with activity and decreases at rest.

[25] Her impression was:

Chronic myofascial pain as a result of soft tissue injury suffered in motor vehicle accidents in October 1998 and March 1999. Preceding mechanical low back pain with right sciatica.

[26] Dr. Khostanteen assessed Surinder again on June 23, 2000. Surinder was reporting similar symptoms. Dr. Khostanteen stated the following:

DIAGNOSIS:

Degenerative cervical spondylosis.

Myofascial pain.

Bilateral carpal tunnel syndrome, more on the right side.

[27] Dr. Lo is a neurologist. His report is dated April 26, 1999. Surinder saw him to investigate slurred speech that she had experienced intermittently over the last two months. He was of the opinion that this problem was muscular in origin. He does not appear to relate this problem to injuries suffered in the motor vehicle accident.

[28] There are several analytical reports in the accident benefits file of Dominion of Canada Insurance Company. There is an Occupational Therapy – Physical Demands Analysis Report from National Health Partners dated July 30, 1999. It is written by Patricia Fleet, who describes herself as a certified occupational therapist. She spent an afternoon with Surinder at her jobsites at the two health food stores, which are called Nutrasource, and the vegetarian restaurant, which is called Fresh Start.

[29] Surinder had not been doing cooking at the restaurant, but when Ms. Fleet was there she was working as a cook out of necessity because their cook had quit. She was managing both businesses. The recommendations of Patricia Fleet were that Surinder should continue to wear support footwear while working both at the restaurant and the health food store and that she should resume all cooking duties over the next six weeks.

[30] There is a Functional Abilities Evaluation Report prepared by C.B.I. Physiotherapy and Rehabilitation Centre dated August 27, 1999. It is signed by a registered physiotherapist and a certified kinesiologist. They had Surinder engage in testing over two days. They expressed their conclusions as follows:

Based on the objective findings of the FAE, a match does not exist between her current physical abilities and reported critical job demands, specifically for the cooking position. She meets the essential requirements for the owner/manager position at the health food store. It is our opinion that there is no physical impairment to prevent her from gradually resuming her activities over a two to four week period.

[31] BDO, an accounting firm, submitted an analysis of Surinder's income before and after the accident to Dominion of Canada in a report dated July 26, 2000. They found her pre-accident income to be \$283.62 per week. Her post-accident income from October 28, 1998 to June 30, 1999 was only slightly less in the amount of \$260.45 per week. In the period from July 1, 1999 to December 31, 1999 her average weekly income was \$146.68. They calculated her income replacement benefits to be \$16.14 per week for the first period and \$108.76 per week for the second period.

[32] Surinder and Dominion of Canada attended mediation. The mediator submitted a report dated March 22, 2002. The parties were far apart. Surinder claimed \$226.10 in

income replacement benefits from one week post-accident to the present and into the future. There was no settlement.

[33] On August 28, 2002 Howard Katz, who was still representing Surinder, made an offer on her behalf of \$25,000.00. There would not appear to be a response from Dominion of Canada.

The Law

[34] The test which the plaintiffs must meet on a motion to extend the time for serving the statement of claim was set out by Justice Laskin for the Court of Appeal in *Chiarelli v. Wiens*, [2000] 46 O.R. (3d) 780, 2000 O.J. No.296 (C.A), as follows, at para. 12:

In my view, although the wording of the former and current rules differs, the guiding principles remain the same. As Lacourcière J.A. said in *Laurin v. Foldesi* (1979), 23 O.R. (2d) 321, 96 D.L.R. (3d) 503 (C.A.):

The basic consideration...is whether the [extension of time for service] will advance the just resolution of the dispute, without prejudice or unfairness to the parties.” And, the plaintiff has the onus to prove that extending the time for service will not prejudice the defence.

[35] Although the onus is on the plaintiffs to prove that the defendant would not be prejudiced, the defendant cannot rely on a general allegation of prejudice. The defendant must provide particulars of how it would be prejudiced if the extension is granted.

Analysis

[36] The defendant admitted liability for the purposes of this motion.

[37] The defendant also agreed that the fact that the statement of claim against the defendant Anne Cook was issued later than two years after the accident and hence after the expiration of the limitation period is not relevant to the issues on this motion.

[38] The accident took place on October 27, 1998. The last day for the issue of the statement prior to the two-year expiration of the limitation period was October 26, 2000. To comply with the rules, it was necessary to serve the statement of claim by October 26, 2001.

[39] The defendant's insurer, Allstate Insurance, first received notice of the claim by letter dated July 7, 2005. This was six years and nine months approximately after the date of the accident, and approximately four years and three months after the date the statement of claim would have to be served, assuming it was issued at the end of the limitation period.

[40] The defendant alleged that the delay in its receiving notice of the claim prejudiced it in its defence by reason of it not being able to keep Surinder under surveillance and by its not being able to obtain a medical examination of Surinder.

[41] In my view, the medical records that have been produced demonstrate that Surinder's injuries are real.

[42] The notes of Dr. Yong indicate that Surinder is consistently and continuously reporting to her that she is suffering severe pain in her neck, shoulders, back, legs and hands. Typical of the notes of Dr. Yong is the last recorded note that is produced, dated November 26, 2003 which reads as follows:

Chronic pain – headache – pressure in eyes – neck and constant shoulder girdle pain – also pain in back – left leg (?) - great toe.

[43] The injuries she suffered in the motor vehicle accident on October 27, 1998 would appear to be the primary source of her pain. She continued to work after the accident, notwithstanding the pain, as is apparent from the notes in the medical records and the assessment of the accountant BDO.

[44] There is substantial evidence that Surinder is not a malingerer. I doubt if surveillance would have developed evidence of much use to the defendant.

[45] The defendant also argues that the delay has prevented it from obtaining a defence medical report.

[46] In my view, the following passage from the judgment of Justice Laskin at para. 11 in *Chiarelli v. Wiens* (supra) is a complete answer to that argument:

However, I consider any prejudice caused by a delayed defence medical to be slight. Because the defence typically is only entitled to one medical examination of the plaintiff, usually that examination takes place shortly before the trial when the most up-to-date medical information has been obtained. Thus, even if the statement of claim had been served on time, the defence medical would likely still have taken place several years after the accident. The added years caused by the delay in service will not appreciably affect the defence's position, especially considering the voluminous medical information on ms. Chiarelli now available to State Farm. Therefore, in my view, a delayed defence medical provides no basis for interfering with the motions judge's order.

[47] There is a wealth of medical reports which Surinder has produced that can be made available to a defence medical expert. Surinder's medical history by way of the clinical notes of Dr. Yong and any further consultation reports from medical experts can be brought up to date.

[48] A single examination for discovery of the plaintiffs can be conducted for both actions.

[49] The transcript of this examination can be provided to the defence medical expert who could then provide an up-to-date assessment.

Conclusion

[50] The only issue in the plaintiffs' action for injuries suffered in the motor vehicle accident on October 27, 1998 that relates to this motion is damages. The only specific prejudice that the defendant alleges to the assessment of the Surinder's damages is the lack of opportunity to conduct surveillance and the inability to obtain an earlier defence medical.

[51] In *Clarke v. Pattison*, [1999] O.J. No.374, Justice Farley stated the following at para. 17:

State Farm's counsel acknowledges that the court must weigh the prejudice to either party. Has it been shown that the Defendant (and State Farm) has suffered sufficient prejudice which cannot be overcome and which tips the balance in favour of the respondent because of irretrievable and substantial prejudice or unfairness in the balancing of things. This is in accord with *Buleychuk, Laurin and Srazisar*, supra. This was also mentioned by Master Sandler in *Ledo v. Atchison* (1992), 9 O.R. (3d) 126 (Master) at pp.127-8 where he observed:

...It may be that there is some slight prejudice in not having been able to follow the medical history of the plaintiff to date and to have had surveillance of the plaintiff up to now. However as in *Atchison v. Dennis* (1985), 7 C.P.C. (2d) 13 (Ont. Dist. Ct.), it is my view that any prejudice suffered by the defendants and its insurers is very slight compared with the prejudice that would accrue so that plaintiff if the time for service was not extended.

The same reasoning applies to this case.

[52] There will be an order extending the time to serve the statement of claim issued on October 25, 2001 for a period of one month.

[53] If the parties cannot settle the issue of costs, the plaintiffs will make submissions in writing within ten days of the receipt of this judgment, the defendant shall have ten days to respond and the plaintiffs shall have five days to reply.

P.B. HAMBLBY J.

Date: July 12, 2006